

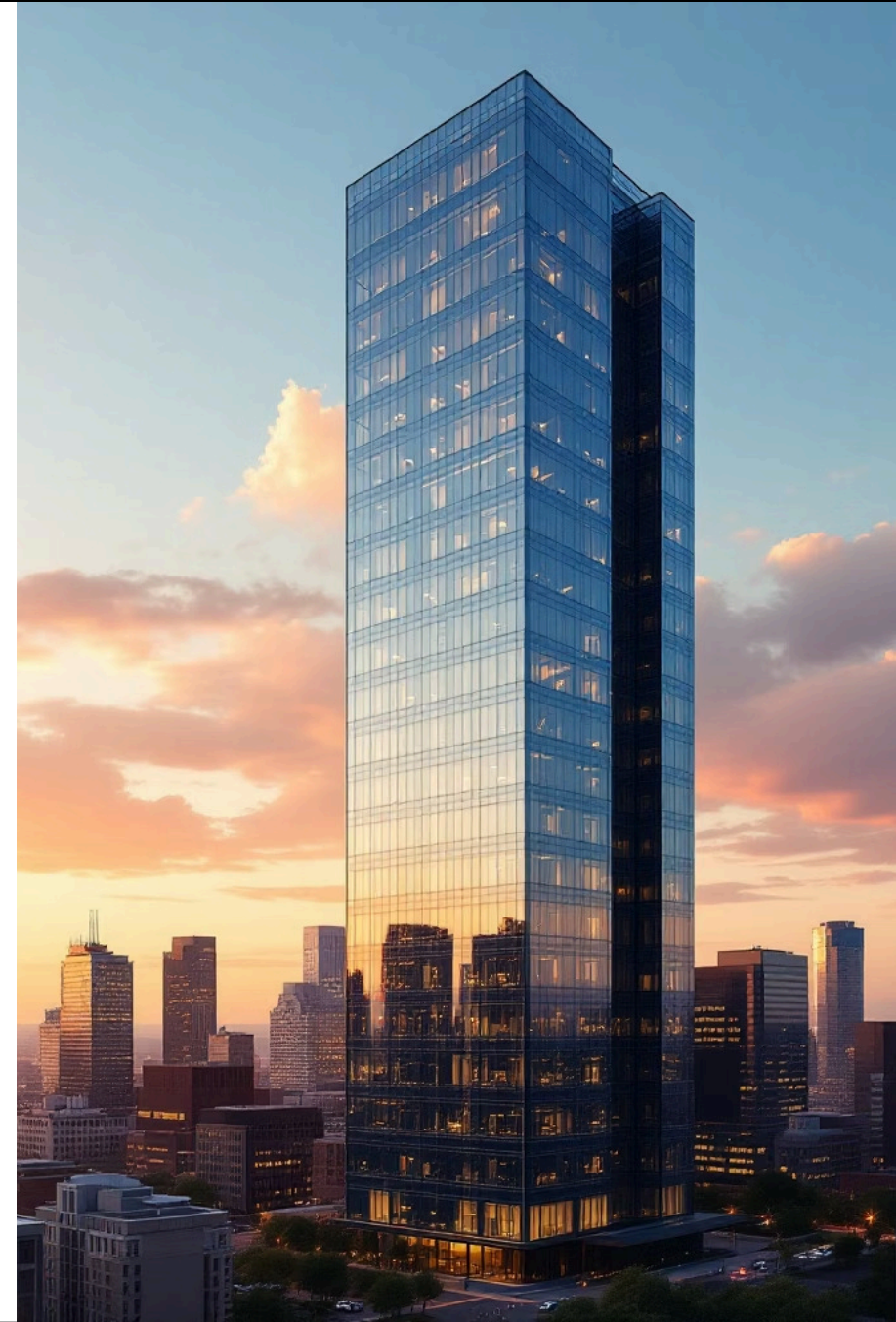
Strategic Growth Through AI

EPC Real Estate Group

Leveraging Generative AI to Scale a \$1.5B Development Platform Beyond
Kansas City

PREPARED BY CHIEF AI OFFICER

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Company at a Glance

EPC Real Estate Group is a vertically integrated developer and property manager headquartered in Overland Park, Kansas — spanning luxury multifamily, mixed-use, senior housing, commercial, industrial, and hospitality across Kansas City, Wichita, Salt Lake City, Texas, and Arizona. Inducted into the Overland Park Chamber **Business Hall of Honor in 2024**.

\$12M

Annual Revenue

Midpoint estimate · Privately held

55

Employees

Corporate staff + property-level
managers

\$1.5B

Capital Deployed

Cumulative development value · 25
years operating

10K+

Units Developed

Residential units across 6 states

\$400M+

Active Pipeline

Including \$110M Wichita Ballpark
District

Led by President & CEO Michael J. McKeen — Turner Construction veteran, LEED AP, \$1.8B+ capital secured — since a 2014 rebrand. The firm is now expanding into hospitality with **389 hotel keys** in pipeline.

The Opportunity

Mid-market real estate developers have been slow to adopt AI. EPC's lean, vertically integrated structure means AI gains flow directly to the bottom line — without institutional bureaucracy.

First-Mover Advantage

Most Kansas City competitors have no disclosed AI initiatives. EPC can capture market share before the technology gap widens irreversibly.

Scale Without Proportional Headcount

EPC manages 2,976 units and a \$400M+ pipeline with ~55 employees. AI-enabled leasing, maintenance, and investor reporting allow the firm to **double its managed portfolio without doubling its team** — the classic scaling unlock for growth-stage developers.

Margin Expansion at a Critical Growth Moment

With geographic expansion into Salt Lake City, Texas, and hospitality, operational complexity is accelerating. AI transforms the SG&A cost curve from **linear to logarithmic** — protecting margins during the highest-risk phase of platform scaling.

Why Act Now

Margin Pressure

Real estate service firm EBITDA margins average 15–20%. Rising construction costs and interest rates are compressing development spreads. Every basis point of operational efficiency matters at scale.

Labor Escalation

Property management turnover exceeds **33% annually**. Skilled leasing agents, maintenance coordinators, and project managers are in short supply across the Midwest. KC unemployment at historic lows.

PropTech Disruption

VC firms invested **\$16.7B in proptech in 2025** (up 68% YoY). EliseAI reached \$2.2B valuation providing AI leasing agents. The technology gap is widening — fast.

Geographic Expansion Risk

Expanding into SLC, Texas, and hospitality without AI-enabled operations means replicating manual processes in every new market — compounding SG&A linearly when the firm needs exponential capability.

 **AI adoption is not optional — it is how EPC scales from regional developer to multi-market platform.**

AI Applications Across the Business

From SG&A functions to core operations, AI delivers measurable impact across every major cost center and revenue driver at EPC.

SG&A Functions

	Finance & Accounting Automated invoice processing, AI financial reporting, cash flow forecasting, LP/investor report generation, project-level P&L automation \$120K–\$180K savings · 25–35% labor reduction
	Sales & Marketing AI-powered leasing content, property marketing automation, lead scoring across 2,976 units, proposal generation, CRM intelligence \$350K–\$520K savings · 30–40% efficiency gain
	Customer Service AI leasing chatbot for prospective tenants, automated maintenance requests, 24/7 resident support across 16 managed communities \$180K–\$275K savings · 50–60% inquiry deflection
	HR & Talent AI recruiting chatbot, onboarding automation for property-level hires, retention analytics, compliance training automation \$65K–\$100K savings · 30–40% faster hiring
	Legal & Compliance Contract review and lease abstraction, TIF/incentive compliance documentation, regulatory monitoring across 6 states \$80K–\$125K savings · 25–35% time reduction

Operations Functions

	Property Management Predictive maintenance across 2,976 units, AI-optimized rent pricing, automated lease renewals, NOI optimization, vacancy reduction \$300K–\$450K value · 1–2% occupancy improvement
	Development & Construction AI-powered cost estimation, schedule optimization, document automation, site selection analytics, entitlement research acceleration \$275K–\$400K value · 15–25% efficiency gain on \$400M+ pipeline
	Investor Relations Automated LP reporting, portfolio performance dashboards, capital raise materials generation, deal-level analytics \$80K–\$130K value · 60–70% reporting automation

Consolidated Financial Impact

Across all eight functions, AI delivers a projected **\$1.45M–\$2.18M annual value** on an investment of \$180K–\$270K over 36 months — with a payback period of just 5–8 months.

Function	Annual Value Range	Timeline
Finance & Accounting	\$120K – \$180K	6–12 months
Sales & Marketing	\$350K – \$520K	6–12 months
Customer Service	\$180K – \$275K	3–6 months
HR & Talent	\$65K – \$100K	6–12 months
Legal & Compliance	\$80K – \$125K	9–15 months
Property Management Ops	\$300K – \$450K	6–18 months
Development & Construction	\$275K – \$400K	12–24 months
Investor Relations	\$80K – \$130K	6–12 months
TOTAL IMPACT	\$1.45M – \$2.18M	36 months

\$225K

Avg. Investment

\$180K–\$270K over 36 months

5–8mo

Payback Period

Fastest in class for enterprise AI

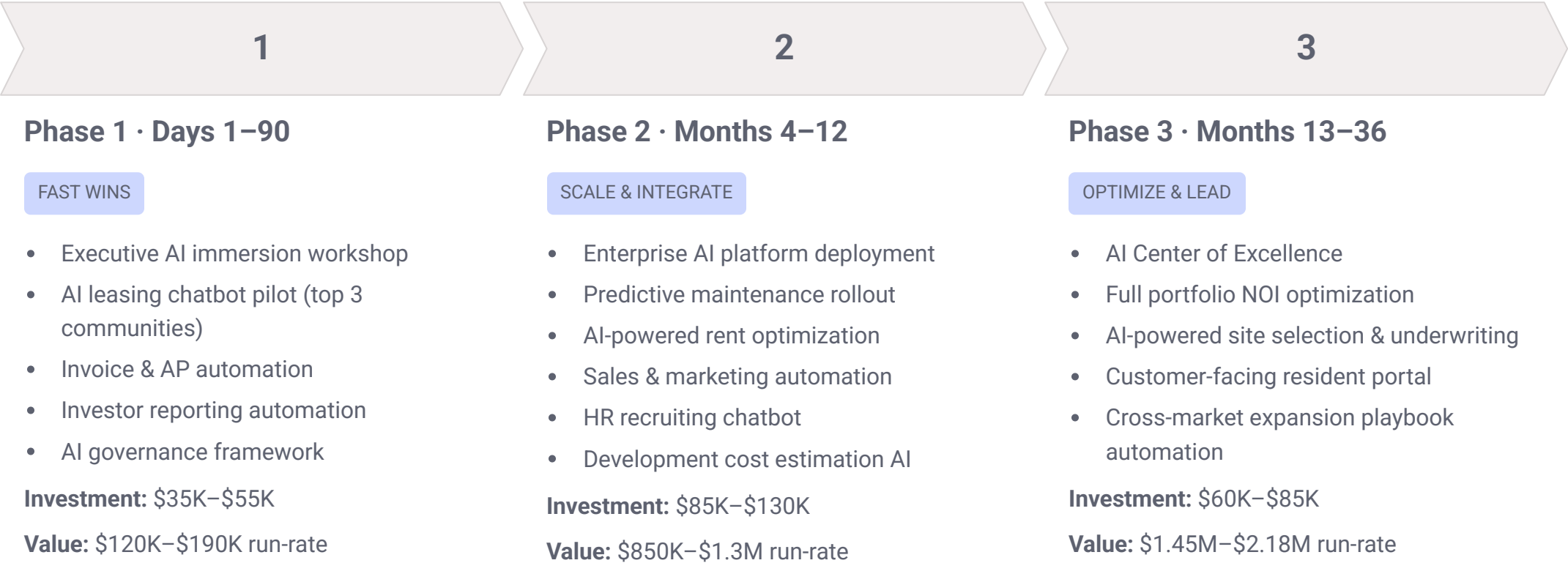
1,000%+

3-Year ROI

938–1,113% return on investment

Three-Phase Transformation Roadmap

A disciplined, phased approach ensures fast wins build momentum, integration creates compounding value, and optimization cements EPC's position as a technology-enabled platform.



Risk Management

Six key risks have been identified and mitigated with specific governance, technical, and cultural controls embedded in the roadmap from Day 1.

1. Fragmented Adoption · Prob: HIGH

Governance framework + AI Steering Committee (CEO + COO + VP Asset Management) + enterprise platform by Month 8

2. Data Quality Gaps · Prob: MEDIUM-HIGH

Entrata data readiness assessment in Phase 1. Prioritize high-quality data sources (lease records, maintenance logs) first.

3. Change Resistance · Prob: MEDIUM

"AI augments, not replaces" messaging. No layoffs commitment. Tiered training for all 55 employees including property-level staff.

4. Tenant Data Privacy · Impact: HIGH

SOC 2 / ISO 27001 vendor requirements. Private cloud for resident PII. Fair housing compliance review for all AI leasing tools.

5. Vendor Lock-In · Prob: MEDIUM

Open APIs required. Entrata integration-first approach. Data portability clauses in all AI vendor contracts.

6. Multi-Market Complexity · Prob: MEDIUM

State-specific compliance modules for KS, MO, UT, TX, AZ. Centralized governance with market-level customization.

The Valuation Transformation

AI-enabled operations don't just improve margins — they re-rate the entire enterprise. Technology-enabled platforms command premium multiples from both strategic and financial buyers.

Today

~\$2.2M EBITDA × 8–10x

= \$17.6M – \$22.0M

~\$12M revenue · ~18% EBITDA margin · Standard real estate services multiple

Year 3 (Post-AI)

\$3.6M–\$4.4M EBITDA × 9–11x

= \$32.4M – \$48.4M

Enhanced margins from AI-enabled operations · Premium multiple for technology-enabled platform

Enterprise Value Created: \$14.8M – \$26.4M on \$180K–\$270K investment



Remain Independent

Improved 30–37% EBITDA margins and scale to \$500M+ AUM without proportional SG&A growth



Attract Strategic Buyers

AI-enabled platforms command 1–2x multiple premiums over traditional operators — making EPC a highly attractive acquisition target



Scale Revenue

Grow to \$20M–\$25M through geographic expansion enabled by AI-automated operations in new markets

The Choice Is Clear

❌ Option A: Status Quo

- Margin erosion as geographic expansion adds complexity
- Manual operations limit portfolio growth to ~55-person capacity
- Competitors with AI-enabled leasing capture market share
- Valuation stagnation at \$17.6M–\$22.0M

✅ Option B: AI Transformation

- \$1.45M–\$2.18M annual EBITDA uplift
- 30–37% EBITDA margins
- \$14.8M–\$26.4M enterprise value created
- Scale to multi-market platform without proportional headcount

Immediate Next Steps — Week 1

01

Day 1–3

CEO convenes leadership team · Secure partner endorsement · Commit to 36-month investment plan

03

Week 1–2

CEO-wide communication: AI as force multiplier for scaling, not headcount reduction · Invite employee input

02

Week 1

Engage AI consulting partner · Assign Phase 1 lead (VP Asset Management or COO) · Allocate \$35K–\$55K Phase 1 budget

04

Week 2–4

Select Phase 1 pilots (leasing chatbot, AP automation, investor reporting) · Begin Executive Immersion training

"EPC has deployed \$1.5 billion in capital through vision, relationships, and execution. AI is the force multiplier that transforms a regional developer into a multi-market platform — without losing what makes EPC exceptional."